

Primegrade.ai – Assignment Submission

Sentiment-Based Trading Analysis

Methodology

We merged trading data with sentiment data using date as a common column. After cleaning and formatting, we analyzed performance metrics like Closed PnL, trade frequency, trade size, and position direction.

Key Insights

- Extreme Greed yields highest profitability, indicating strong bullish momentum.
 - Fear & Extreme Fear still generate consistent returns, suggesting contrarian opportunities.
 - Trading activity is highest during Greed phases, showing trader confidence.
 - Long trades dominate across all sentiments, indicating bullish bias.
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Strategy Recommendations

- Trade aggressively in Extreme Greed but monitor risk.
 - Use Fear periods for entry opportunities.
 - Avoid excessive trades in Neutral sentiment.
 - Maintain balanced exposure between long and short positions.
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Conclusion

Market sentiment plays a critical role in trading performance. Aligning strategies with sentiment trends can significantly improve profitability and decision-making.

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